

ACCTG 211H — Mechanics Drill Set

Week 6 — Revenue Recognition and Abnormal Returns

Drill Set

Required: 1–6. Due Sunday February 21, 2027, 11:59 p.m. Eastern, after both class meetings. Graded for completion: attempt the required items yourself, check the key, and correct your work. No generative AI. All items are required.

1. (*Allocate the transaction price.*) A firm sells a bundle for \$900: a product with a standalone selling price of \$800 and a one-year service with a standalone selling price of \$400. Allocate the \$900 to the two performance obligations using relative standalone selling prices.
2. (*Recognize over time.*) The service from Drill 1 is delivered evenly over twelve months. How much service revenue is recognized in the first two months?
3. (*Sale with a contract liability.*) On January 1 the firm receives the \$900 cash for the bundle in Drill 1 and delivers the product immediately; the service has not yet been provided. Record (a) the January 1 entry and (b) the January 31 entry for one month of service.
4. (*Right of return.*) A firm ships goods on December 28 for \$50,000; control transfers on shipment and the firm reliably estimates that 4% will be returned. How much revenue is recognized in December, and what refund liability is recorded?
5. (*Abnormal return.*) A stock returns +3.2% on its earnings-announcement day. Its market-model parameters are $\alpha \approx 0$ and $\beta = 1.2$, and the market returned +1.5% that day. Compute the abnormal return.
6. (*Cumulative abnormal return.*) Over a three-day event window a stock's daily abnormal returns are +0.6%, -0.2%, and +1.1%. Compute the cumulative abnormal return (CAR).